to particular individual. After the division of the total effort into functions and sub-functions, the next step is to group the activities on the basis of a) Similarity of work b) Efficiency. So that the similar type of activities can be grouped together and placed under the name of department or Sub-department.

Ex: The manufacturing enterprise, its total activities may be divided and grouped under production, marketing, finance, personnel etc.

Division of labour will lead to specialization because of doing the same work again and again. It helps to increase the quantity and quality of output without waste of time, energy and resources.

2. **Co-Ordination:** The people in the organisation are assigned with different functions, but the aim is to attain organisational goal. So they have to co-ordinate between 1. The employee and his work 2. One employee and another one employee 3. One department and another.

3. **Objectives:** Every organisation should have specific and well defined objectives.

   Objectives cannot be accomplished without an organisation. Similarly the organisation cannot exist for a long time without objective and goals.

4. **Authority-Responsibility relationship:** An organisation structure consists of various positions arranged in a hierarchy with a clear definition of the authority and responsibility, associated with each position.

5. **Communication:** Every organisation has its own method of communication. In organisation group of persons work together towards the goal. So effective communication is needed between the people for understanding. The channels of communication may be formal, informal, downward, upward or horizontal.

3.5 Advantages of Organisation

1. **Benefits of specialization:** The entire work of the concern is divided into several departments. The employees who do the work repeatedly in the department will become experts and likely to make less mistake. They can focus better and work easier.

2. **Division of work:** The total work to be done is divided into small parts, and each entrusted to a particular individual.

3. **Scope for growth and diversification:** It helps for the growth of business operations and ensures maximum utilization of existing resources and capabilities.

4. **Scope for expansion and adoption of new technology:** Organising helps to expand the business, if necessary and can adopt new technological changes which may increase the efficiency and minimize the cost.

5. **Stimulates Creativity:** An organisation provides space to the individuals to exhibits their creative skills. The individuals can act within their limits and can use innovative ideas to perform the tasks.

6. **Minimise duplication of work:** Though the works are divided and arranged in order, it minimises duplication of work.

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